SEMESTER 1 DIPLOMA HANDBOOK

Foundation Courses Financial Accounting I

A complete Kerala Polytechnic Commercial Practice handbook covering accounting concepts, double-entry bookkeeping, journalizing, ledger posting, cash book, trial balance, and financial statements.

Course Code
1141

Credits
4

Periods
5/week, 75/semester

Course Details

Title: Foundation Courses Financial Accounting I

Programme: Commercial Practice

Category: Program Core

Pattern: L:4, T:1, P:0

This handbook follows official SITTTR Revision 2021 guidelines with Malayalam support notes, worked examples, and exam questions.

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Model Question Paper | Full Answer Key

OBJECTIVES AND OUTCOMES

Course Objectives, Prerequisite, Outcomes and Mapping

Course Objectives

1. To familiarize students with basic accounting concepts, principles, and terminology.
2. To develop skills in recording business transactions using the double-entry system.
3. To train students in preparing subsidiary books, cash books, and trial balance.
4. To provide fundamental knowledge on preparing final accounts of sole proprietorship concerns.

Course Prerequisite

Basic commercial arithmetic and fundamental understanding of business transactions.

CO-PO Mapping

CO1 → PO1: 3. CO2 → PO2: 3. CO3 → PO3: 3. CO4 → PO3: 3.

CO	Outcome	Duration	Level
CO1	Explain accounting concepts, conventions, and double-entry system.	15 hours	Understanding
CO2	Record business transactions in Journal and post them to Ledger.	20 hours	Applying
CO3	Maintain subsidiary books and Cash Book for various cash and credit transactions.	20 hours	Applying
CO4	Prepare Trial Balance, Trading, Profit & Loss Account, and Balance Sheet.	20 hours	Creating

ROADMAP

Module-wise Learning Roadmap

Module	Core Topics	Accounting Records	Practical Focus
1	Meaning, objectives, accounting cycle, GAAP, accounting equation	Basic Equation: Assets = Liabilities + Capital	Classifying transactions

2	Double entry system, Journal entries, Ledger posting, balancing	Journal & Ledger accounts	Passing compound entries
3	Cash book (single, double, triple column), purchase/sales day books	Subsidiary books	Balancing cash book
4	Trial balance objectives, errors, final accounts (trading, P&L, balance sheet)	Financial statements	Preparing final accounts

MODULE 1

Introduction to Accounting and Accounting Equation

Module Outcomes

- M1.01 Define book-keeping and accounting.
- M1.02 Distinguish between book-keeping and accounting.
- M1.03 Apply accounting concepts and conventions.
- M1.04 Prove the accounting equation for given transactions.

Core Concepts

Accounting is the process of identifying, measuring, recording, classifying, summarizing, analyzing, and communicating financial information to decision-makers. Book-keeping is primarily the mechanical recording phase of accounting.

Accounting Equation

The accounting equation forms the foundation of double-entry bookkeeping: **Assets = Liabilities + Capital**.

Malayalam Support Note: □□□□□□□□□□□□ □□□□□□□□ (Accounting Equation) □□□□□□ □□□□□□□ (Assets) □□□□□□□□ □□□□□□□□□□□□□□ □□□□□□□□□□□□□□□□ (Liabilities + Capital) □□□□□□□□□□□□□□ □□□□□□□□□□□□□□□□ □□□□ □□□□□□□□ □□□□□□□□□□□□□□□□□□□□□□□.

Expected Questions: Define accounting. State the accounting equation. Explain business entity concept.

MODULE 2

Journalizing and Ledger Posting

Module Outcomes

- M2.01 Apply golden rules of accounting.
- M2.02 Pass journal entries for complex transactions.
- M2.03 Post journal entries to ledger accounts.
- M2.04 Balance ledger accounts.

Golden Rules of Accounting

Account Type	Debit Rule	Credit Rule
Personal	Receiver	Giver
Real	What comes in	What goes out
Nominal	Expenses and losses	Incomes and gains

Worked Example

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Problem: Started business with cash ₹1,00,000 on 1st June 2026.
Solution:
Cash A/c ... Dr. 1,00,000
    To Capital A/c 1,00,000
(Being business started with cash)
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Expected Questions: Explain golden rules. What is a ledger? How is balancing done?

MODULE 3

Subsidiary Books and Cash Book

Module Outcomes

- M3.01 Maintain purchase and sales day books.
- M3.02 Record transactions in single and double-column cash books.
- M3.03 Explain petty cash book.

Cash Book Types

Single column records cash transactions. Double column records cash and bank transactions. Triple column records cash, bank, and discount.

Expected Questions: Explain contra entries in cash book. What is a debit note?

MODULE 4

Trial Balance and Final Accounts

Module Outcomes

- M4.01 Prepare Trial Balance from ledger balances.
- M4.02 Identify and rectify accounting errors.
- M4.03 Prepare Trading and Profit & Loss Account.
- M4.04 Prepare Balance Sheet.

Final Accounts Structure

Trading Account determines Gross Profit. P&L Account determines Net Profit. Balance Sheet shows financial position.

Expected Questions: What are the objectives of trial balance? Distinguish between capital and revenue expenditure.

PRACTICE MODEL PAPER

Practice Model Paper (Based on Official SITTTR Pattern)

Time: 3 Hours | **Max Marks:** 75

Part A (Answer any 5 questions - 2 marks each)

1. Define book-keeping.
2. State the accounting equation.
3. What is a contra entry?

4. Give two examples of nominal accounts.
5. What is a trial balance?
6. Define working capital.

Part B (Answer any 6 questions - 5 marks each)

1. Distinguish between book-keeping and accounting.
2. Explain any four accounting concepts.
3. Pass journal entries for purchase of machinery for cash and goods on credit.
4. Explain double-column cash book format.
5. What are the causes of disagreement in trial balance?
6. Prepare a simple trading account with hypothetical figures.

FULL ANSWER KEY

Full Answers to Practice Model Paper

Part A: 1. Book-keeping is the art of recording business transactions systematically in books of accounts. 2. Assets = Liabilities + Capital. 3. Contra entry is an entry where both cash and bank accounts are affected simultaneously. 4. Salaries A/c, Rent Received A/c. 5. Trial balance is a statement of debit and credit balances extracted from ledger accounts to check arithmetical accuracy.